

Soloviev's \$1.8B Refi Shows CMBS Is Open, But Only for the Right Trophy

The five largest May loans reveal a market rewarding basis, conversion plays, and last-mile logistics over speculation.

The most important number in May's \$3.1 billion Manhattan loan tally is not the \$1.8 billion Soloviev refinancing. It is the \$526 million in cash the borrower walked away with. That is not a refinancing. It is a recapitalization disguised as a loan. Bank of America, Wells Fargo, and Citi did not lend \$1.8 billion against 9 West 57th Street because office is back.

They lent because the building just signed a record \$327.50-per-square-foot lease to a 28-year-old billionaire, the property sits on Billionaires' Row, and the sponsor has the balance sheet to command institutional trust. The five-year CMBS loan at 4.97 percent values the tower at \$3.9 billion upon stabilization. That is a bet on a specific asset, not a sector. The \$526 million of excess cash tells the real story.

Soloviev is not borrowing to fund operations. It is extracting equity at a moment when the CMBS market is willing to underwrite trophy office at a spread that makes the math work. For the lenders, the loan is secured by a building with a demonstrated rent ceiling and a sponsor that can absorb vacancy. For Soloviev, the transaction is a liquidity event that does not require a sale.

That distinction matters because it shows that the capital markets are open for refinancing, but only for assets that can prove income defensibility at a basis that leaves room for error. The other four loans in May's top five reinforce the same pattern: capital is not flowing broadly. It is concentrating around specific underwriting theses.

Apollo Global Management's \$420 million construction loan for RXR's 61 Broadway conversion is a bet on office-to-residential policy, not on office occupancy. The 467m tax abatement program and J.P. Morgan's \$55 million tax equity investment give the project a capital stack that reduces execution risk. RXR is not betting that the Financial District office market recovers. It is betting that the conversion math works when the city subsidizes the transition.

Apollo is lending into a structure where the downside is partially insured by policy. Strategic Value Partners' \$379 million refinancing of the Bronx Logistics Center at 980 East 149th Street is a different kind of conviction. The loan replaces a \$381 million KKR facility on a 1.3 million-square-foot last-mile distribution center that Turnbridge Equities assembled for \$174 million in land costs.

The basis is low, the asset is Class A industrial in a supply-constrained borough, and the tenant demand for last-mile logistics remains structural. The refinancing is not a rescue. It is a capital markets optimization by a sponsor that bought cheap and built right. Ladder Capital's \$268 million bridge loan for Sovereign Partners' acquisition of 575 Fifth Avenue is the most revealing of the group.

Sovereign paid \$378 million for a 500,000-square-foot office condominium that is 87 percent occupied. The loan-to-cost ratio is roughly 71 percent, which is aggressive for office in 2026. But Ladder is not underwriting a recovery in Midtown East office values. It is underwriting a specific borrower with a track record of buying well-located assets and adding value through leasing and repositioning.

The loan is a bet on sponsor execution, not on market tailwinds. Gary Barnett's \$268 million loan for the assemblage at 57 East 55th Street is the outlier. It is a development bet on Park Avenue at a moment when construction financing is scarce and office demand is bifurcated. Barnett is betting that the super-prime residential market will absorb new supply at prices that justify the basis.

That is a high-conviction wager in a market where most developers are waiting for rates to fall before breaking ground. What connects all five loans is that none of them are generic. Every deal has a specific thesis: trophy office with a record lease, conversion with tax abatement, last-mile logistics with a low basis, acquisition by a proven sponsor, or super-prime development by a veteran builder. The market is not rewarding optimism.

It is rewarding structure. For owners with maturing loans on Class B office buildings in secondary locations, May's loan data offers no comfort. The capital that is flowing is flowing to assets that can demonstrate a clear path to cash flow, sponsors with balance-sheet credibility, and debt structures that can survive another year of expensive money. The rest of the market is still waiting for the bid to return.

The next phase of the cycle will not be defined by who owns the best story. It will be defined by who controls the cheapest capital and the most defensible basis. May's top loans prove that both are available, but only for those who can show the math works today, not next year.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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